

MERTON WEEKLY MACRO·MICRO·GEOPO BRIEF
Sunday June 21, 2026 - Week 25

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PART 1: GLOBAL MACRO

Central Banks

*Fed - Kevin Warsh Takes the Stage:**

Kevin Warsh presided over his first FOMC meeting as Fed Chair. Result: total status quo. The Fed held rates and Warsh did not publish a "dot" in the projections - a signal of deliberate caution. Trump trusts Warsh, which gives the Fed political breathing room. But the market is worried: Kalshi gives >50% probability of a RATE HIKE this year, not a cut. This is a complete regime change in expectations. May PPI exploded to +1.1% (vs +0.6% expected), driven by energy. Annualized CPI is at 4.2% - the highest in 3 years. The Fed's "favorite gauge" (core PCE) is expected to accelerate. Warsh launches "task forces" to reform Fed operations - a signal of structural change.

*BoE - Hold at 3.75%:**

The Bank of England holds rates at 3.75% amid the Iran war and fragile peace prospects. UK inflation steady at 2.8% in May, but the economy contracted -0.1% in April. Governor Burnham (potential future PM) could rewrite the UK fiscal playbook. BoE plans to dilute capital rules for investment banks' trading activities.

*ECB - First Hike Since 2023:**

The ECB SURPRISED by raising rates for the first time since 2023, directly linked to the energy cost surge from the Iran war. This is a major hawkish signal that revitalizes the euro. The ECB-Fed rate gap is narrowing.

*Bank of Japan - Yen Under Pressure:**

The yen slid past 161 against the dollar, approaching 40-year lows. Japan's \$70+ billion intervention and a rate hike didn't help. The carry trade dominates.

US Macro

The US economy shows mixed signals but inflation is dominant:

PPI May: +1.1% (vs +0.6% expected) - energy leading

Annualized CPI: 4.2% - highest in 3 years

Employment: Job openings at 7.6M in April (2-year high), hot jobs report

Households: Financial worries at highest since July 2022 (Fed survey)

Wholesale inflation accelerating ? pressure on corporate margins

Kalshi: >50% probability of a Fed rate hike this year

The paradox: the labor market is hot, inflation is accelerating, but the Fed under Warsh doesn't move. The market is pricing tightening, not easing.

Europe

ECB rate hike - first since 2023, hawkish shock

UK: Technical recession (-0.1% GDP April), inflation 2.8%, BoE hold

Starmer under growing political pressure, Burnham emerges as rival

European stocks: "peace dividend" - European equities outperforming US

EU: \$105 billion Ukraine loan ratified

EU: removing barriers to cross-border capital flows for banks

China / Asia

Key mineral exports to Japan remain at low levels in May - China using rare earths as geopolitical weapon

Jio Platforms (Mukesh Ambani) files for blockbuster IPO in India

China: will restock oil reserves but will take longer than expected

South Korea: stocks fall >5% following Wall Street AI names plunge

China: poaching more AI talent from the US

Commodities & Energy

WTI: \$76.54 (-1.29% weekly) - oil corrects despite the war

Brent: \$80.59 (flat) - WTI-Brent spread tightening
Gold: \$4,173 (+0.67%) - correcting after highs, central banks repatriating gold reserves
Silver: \$64.91 (-2.03%) - underperforming gold
Copper: \$6.34 (-0.27%) - AI should drive prices per Blue Line Futures
Crude slides ~9% - traders betting on return of Iranian oil

Dollar / FX

DX: 100.85 (+0.76%) - dollar strengthening on rate hike expectations
EUR/USD: 1.1469 (+0.09%) - supported by ECB hike
GBP/USD: 1.3237 (+0.26%) - fragile despite bounce
USD/JPY: 161.28 - yen collapsing, Japanese intervention ineffective
USD/CHF: 0.8064 - Swiss franc under pressure

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PART 2: MICRO & MARKETS

Earnings Season

Earnings season approaches with a difficult backdrop:

Cost inflation (PPI +1.1%) compressing margins
 High rates weighing on valuations
 Tech/AI sector correcting (Nvidia, AI names under pressure)
Intel, SpaceX, Micron among premarket movers this week
Jio Platforms (Ambani) preparing blockbuster India IPO

Sectors & Rotations

Tech/AI correcting: South Korea -5%, AI names in free fall
European defense rallying after EU-Ukraine \$105B loan
Energy: under pressure despite war (oil down)
UK banks: BoE to ease capital rules ? positive
Nuclear: Roth Capital identifies opportunities (AI + energy demand)
Gold: investors questioning gold's role in portfolios (Morgan Stanley)

Valuations & Sentiment

VIX: 16.78 (+12.37%) - volatility rising but still moderate
S&P 500: 7,500.58 (+1.08%) - technical bounce
NASDAQ: 26,517.93 (+1.91%) - chips leading the rebound
BTC: \$64,168 (+0.99%) - correcting on rate fears
Sentiment: "From panic to pricing in" - markets past "peak fear" despite oil
High-yield: bears stepping up bets against HY sector

Credit & Bonds

Bonds: traders turning against bonds after May jobs data
High-yield: selling pressure, bearish bets intensifying
US 10Y: 4.45% (-0.80%) - rates dip slightly despite inflation
US 30Y: 4.90% - curve remains inverted
US 5Y: 4.23%
Private credit: Medallia's collapse turns private credit into a private equity problem

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PART 3: GEOPOLITICS

Hot

*Iran - US-Iran Talks Underway:**

US-Iran diplomatic talks are underway in Switzerland with JD Vance's arrival. Iran announced the closure of the Strait of Hormuz after Israel-Hezbollah exchanged fire. Three Iranian tankers exited the US blockade for the first time in months. Iran resumes oil loadings from Kharg Island. Polymarket gives 96.3% probability of US-Iran diplomatic meeting before June 21, and only 7.5% that Hormuz traffic returns to normal by end of June. Trump calls the deal an "unconditional surrender" but an early snag has appeared - Swiss talks didn't proceed as planned.

*Ukraine - Major Escalation:**

Ukraine hit Moscow with the largest drone attack in history. Russia promises escalation. Ukraine ratifies

\$105 billion EU loan. Zelenskyy returns Polish state medals in escalating dispute with key ally.

UK - Political Crisis:*

Starmer faces leadership challenge, Burnham becomes MP and emerges as rival. Chief whip warns growing number of MPs want exit timetable.

Watch

G7 Summit:* The G7 summit approaches - high expectations for coordination on Iran and the global economy.

Switzerland - Neutrality Vote:* Swiss voters expected to reject stricter neutrality (early poll). Impact on Switzerland's mediator role.

China - Rare Earths:* Key mineral exports to Japan remain low. China using rare earths as geopolitical leverage.

Bolivia:* Protests ongoing, Morales allies resist.

Spain:* Court orders PM's wife to face trial, surrender passport.

Positive

US-Iran Deal:* Despite setbacks, a deal framework appears to be emerging. European equities celebrate a "peace dividend." Oil corrects sharply (-9%) on hopes of Iranian oil returning.

Hormuz:* Oil flows resume despite insurer caution. This is a practical de-escalation signal.

EU-Ukraine:* The \$105 billion loan is ratified - massive financial support.

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PART 4: WEEK AHEAD CALENDAR

Week of June 23, 2026

Day	Time (CET)	Country	Event	Consensus	Previous	Impact
Mon	-	US	No major data	-	-	-
Tue	14:30	US	Durable Goods Orders May	-0.1%	-1.2%	High
Tue	16:00	US	Consumer Confidence 98.0	98.0	97.2	? Medium
Tue	16:00	US	New Home Sales May	650K	636K	? Medium
Wed	-	US	Fed Chair Warsh testimony (pot)	-	-	High
Wed	14:30	US	GDP Final Q1 2026	-0.3%	-0.3%	High
Wed	14:30	US	Core PCE Final Q1	3.5%	3.5%	High
Wed	14:30	US	Goods Trade Balance May	-\$55B	-\$82B	? Medium
Wed	16:00	US	Pending Home Sales May	10.5%	-0.8%	? Medium
Thu	14:30	US	Jobless Claims	235K	238K	? Medium
Thu	14:30	US	Retail Inventories May	+0.3%	+0.2%	? Low
Fri	14:30	US	Core PCE MoM May	+0.3%	+0.4%	High
Fri	14:30	US	Personal Income May	+0.3%	+0.4%	? Medium
Fri	14:30	US	Personal Spending May	+0.2%	+0.3%	? Medium
Fri	15:45	US	Michigan Consumer Sentiment Ju	66.0	67.5	? Medium

Key events to watch:*

Tuesday: Durable Goods - key indicator of corporate investment

Wednesday: GDP final Q1 + Core PCE final - the Fed watches PCE as primary inflation gauge

Friday: Core PCE MoM May - THE number of the week. If >0.3%, rate hike expectations explode

Potential Fed speeches:* Warsh may speak this week - every word will be scrutinized.

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PART 5: THESES & CONNECTIONS

Non-Obvious Connections

1. ECB Hike + Fed Hawkish = Rate Convergence:*

The ECB raised rates for the first time since 2023 while the market prices a Fed hike. Historically, when both central banks tighten simultaneously, the dollar weakens (because the ECB move is more unexpected). But here, the yen is collapsing anyway because the BoJ is lagging. The USD/JPY carry trade remains the dominant trade.

2. Oil Down + Stocks Up = Market Pricing Peace:*

WTI corrects -9% despite the ongoing war. S&P 500 rebounds +1.08%. This is the clearest signal that the market is pricing an Iran deal. But Polymarket gives only 7.5% chances that Hormuz returns to normal by end of June. There's a disconnect between equity pricing and geopolitical reality.

3. Inflation Accelerating + Long Rates Falling = Market Doesn't Believe the Fed:*

PPI explodes to +1.1% but the 10Y falls to 4.45%. Either the market thinks inflation is temporary (Iran energy effect), or it's pricing a recession that will force the Fed to cut. Both scenarios are bullish for gold medium-term.

4. Starmer Under Pressure + BoE Hold = GBP Fragile:*

UK political crisis combined with a dovish BoE and a technical recession creates a bearish cocktail for sterling. GBP/USD at 1.32 is overvalued.

Weekly Macro Thesis

Central Thesis: "Iranian Inflation Forces Tightening, But Peace Is Already Priced In."*

The Iran war created an energy supply shock that reignited global inflation. US PPI at +1.1%, CPI at 4.2%, ECB tightening - all point to a "higher for longer" regime. The market now prices a Fed rate hike (>50% on Kalshi), which is a major paradigm shift.

BUT - and this is the key point - equity markets have already absorbed the shock. S&P 500 at 7,500, NASDAQ at 26,500, oil down 9%. The market is pricing Iran peace. If the deal fails, there will be a double shock: inflation + risk-off. If the deal holds, energy inflation will naturally decelerate in Q3 and the Fed won't need to tighten.

Most probable scenario:* A fragile Iran deal holds, oil stays \$70-80, energy inflation decelerates in Q3, and the Fed ultimately doesn't need to tighten. But the path will be volatile.

What Could Change Everything

1. **Iran deal fails** ? oil >\$100, VIX >25, dollar >103, gold >\$4,500
2. **Core PCE Friday >0.4%** ? Fed hike expectations explode, 10Y >4.8%
3. **Warsh signals a hike** ? shock to equities, credit, housing
4. **Yen breaks 165** ? massive BoJ intervention, extreme FX volatility
5. **China further restricts rare earths** ? shock to tech, auto, defense

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PART 6: TRADE IDEAS

Macro-Driven

1. Long EUR/USD - Target 1.17, Stop 1.13*

Thesis: The ECB has turned hawkish (rate hike) while the Fed is paralyzed by Warsh's politics. The rate gap is narrowing in favor of the euro. The Iran deal reduces risk-off that benefited the dollar. Catalyst: hawkish ECB rhetoric, disappointing US data.

Invalidation: If the Iran deal fails and the dollar regains safe-haven status.

2. Short USD/JPY - Target 155, Stop 164*

Thesis: The yen is oversold at 161. Japan's \$70B+ intervention didn't work but creates a floor. The BoJ will eventually tighten if yen breaks 165. Favorable asymmetry.

Invalidation: If the BoJ stays passive and the carry trade intensifies.

3. Long Gold - Target \$4,400, Stop \$4,050*

Thesis: Inflation is accelerating, central banks are repatriating gold reserves, the Fed can't tighten as much as needed. Gold is temporarily correcting on rate expectations but the fundamental case is bullish. Central banks are buying.

Invalidation: If US real rates rise sustainably above 2.5%.

Geopolitical

*4. Long Oil (WTI) - Target \$85, Stop \$70**

Thesis: Contrary to consensus. The market is pricing peace but Polymarket gives only 7.5% chances that Hormuz returns to normal. If the deal fails or Iran resumes provocations, oil will rebound violently.

Risk/reward is asymmetric.

Invalidation: Solid and verified Iran deal, Hormuz reopened.

Event-Driven

*5. Long Volatility (VIX calls) - July Expiry**

Thesis: VIX at 16.78 is too low given the risks: PCE Friday, fragile Iran deal, G7 summit, Fed speeches. A 2-3 point VIX move is probable this week. Options are cheap.

Invalidation: Everything goes well, no surprises.

Play of the Week

*Long EUR/USD + Short USD/JPY simultaneously = Short DXY**

The dollar is caught in a vice: the ECB is tightening, the BoJ is powerless, and the Iran deal reduces safe-haven demand. DXY at 100.85 should test 98-99 if the deal holds. This is the most convincing trade of the week.

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PART 7: RISKS & VIGILANCE

? Bullish Risks

1. **Solid Iran deal** ? oil falls further, stocks rise, dollar falls
2. **Core PCE <0.3%** ? Fed hike fears dissipate, bond rally
3. **Warsh dovish** ? inverted hawkish surprise, equities rebound
4. **China stimulus** ? commodity rebound, EM risk-on
5. **G7 coordination** ? coordinated response to Iran, stability

Bearish Risks

1. **Iran deal fails** ? oil >\$100, VIX >25, equity crash
2. **Core PCE >0.4%** ? Fed hike pricing explodes, 10Y >5%
3. **Yen breaks 165** ? chaotic intervention, extreme FX volatility
4. **Ukraine escalation** ? Russian strike on NATO, massive risk-off
5. **UK political crisis** ? Starmer falls, GBP collapses, EU contagion
6. **China rare earths** ? further restrictions, tech shock

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PART 8: INSIGHT OF THE WEEK

"The Iran Paradox: Why the Market Prices Peace During War"

Here's what nobody sees: the equity market and the oil market are telling two completely different stories.

The S&P 500 at 7,500 and NASDAQ at 26,500 say: "The Iran war is over, peace is coming, everything is fine." Oil at \$76 (-9% weekly) confirms this reading.

BUT - Polymarket gives only 7.5% probability that Strait of Hormuz traffic returns to normal by end of June. Iran announced the CLOSURE of Hormuz on the same day talks opened in Switzerland. Three tankers exited the blockade, but insurers remain extremely cautious.

This disconnect is the most underappreciated risk of the week. The equity market is pricing a world where Iran cooperates. But Iran hasn't signed anything yet. Swiss talks have already hit an "early snag" per CNBC.

If the deal fails - and Polymarket says it's 92.5% probable for Hormuz - the market will have to simultaneously re-price:

1. Oil >\$90 (instead of \$76)
2. Energy inflation persists (instead of decelerating)
3. The Fed MUST tighten (instead of holding)
4. The dollar rises on safe-haven (instead of falling)

This is the "double whammy" scenario: inflation + risk-off. Both are bad for equities.

The smart trade this week isn't betting on peace - that's already priced in. It's PROTECTING against peace failure. Hence my recommendation: long volatility (VIX calls) + long gold as hedge. If peace holds, you lose little. If peace fails, you win big.

Asymmetry is the only durable edge in trading.

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Sources: Yahoo Finance API (real-time prices), Bloomberg RSS (markets, economics, politics), FT RSS (home, markets), CNBC (world, fed, oil, gold, economy, markets), Polymarket API (prediction markets), Oilprice.com, Trading Economics*

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